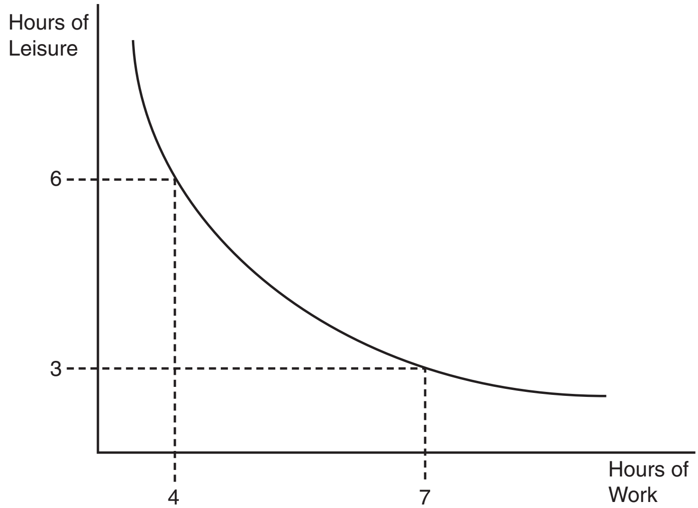

FIGURE 2.2 Indifference Curves Model Consumer Trade-Offs

models the effects of a wage adjustment on a worker's allocation of hours to work versus leisure. Indifference curve analysis also incorporates budget lines (constraints), which signify restrictions on consumption that stem from resource scarcity. In the work-versus-leisure model, for example, workers may not allocate any sum exceeding 24 hours per day.

An indifference curve is a line that depicts all of the possible combinations of two goods between which a person is indifferent; that is, consuming any bundle on the indifference curve yields the same level of utility.

Figure 2.2 maps an exemplary indifference curve. This consumer could consume four hours of work and six hours of leisure—or seven hours of work and three hours of leisure—and achieve equal satisfaction.

With this concept in mind, consider an experiment performed by Louis Leon Thurstone in 1931 on individuals' actual indifference curves.[4] Thurstone reported an experiment in which each subject was asked to make a large number of hypothetical choices between commodity bundles consisting of hats and coats, hats and shoes, or shoes and coats. For example, would an individual prefer a bundle consisting of eight hats and eight pairs of shoes or one consisting of six hats and nine pairs of shoes? Thurstone found that it was possible to estimate a curve that fit fairly closely to the data collected for choices involving shoes and coats and other subsets of the experiment. Thurstone concluded that choice data could be adequately represented by indifference curves, and that it was practical to estimate them this way.